

and other fund expenses, and then act on this awareness, these costs will surely decline. It is as simple as that. If you purchase only the shares of the lower-cost funds (perhaps even by redeeming your investments in the higher-cost funds), mutual fund sponsors will quickly get the message. They'll learn that reducing their costs to investors will help them to increase the level of assets that they manage; failing to do so will lead to an unremitting capital outflow.

This is not a utopian concept. To some degree, this scenario is already unfolding in the mutual fund industry. Consider the money market funds. In a broad sense, the lower the level of a money market fund's expense ratio, the larger the amount of assets it attracts. All of the largest funds have expense ratios that are at or below the industry norm. As far as I am concerned, the jury is now in on the fee waiver issue that I discussed earlier: temporary fee waivers do draw in assets. But when the fund sponsor ceases to absorb the expenses of the fund it is promoting and the expense ratio rises to its "normal" level, much of the money that was enticed into the fund by cut-rate costs is enticed out, as it were, by other funds with durable low costs and high yields. That this reversal in cash flow takes place despite the sponsor's failure to notify its shareholders about any fee increases suggests that, at least in the money market arena, investors are not only thrifty but keenly aware of the yields that they earn. In fact, when the first money market funds were formed, several carried sales loads; however, this expense was simply too much baggage for the marketplace to accept, and the practice soon vanished.

In the bond fund arena, the importance of being thrifty appears not to have been fully recognized. It is as if profligacy, not thrift, were the central theme. It is remarkable to me that so many bond mutual funds with assets upward of \$1 billion incur annual expenses in excess of 1.25%. At this cost, and assuming a gross yield of 7.0%, expenses consume something like 18% of a fund's income, reducing the fund's dividend distribution to its shareholders by that same 18%.